Rudaw
2 Jun 2014

Erbil Says Tanker Carrying Kurdish Oil 'Reached its Destination'

ERBIL, Kurdistan Region – The tanker that lifted the first shipment of piped Kurdish oil at the Turkish port of Ceyhan late last month has arrived at its destination, the Kurdistan Regional Government (KRG) announced.

"The tanker (carrying Kurdish oil) has reached its destination," said KRG Spokesman Safeen Dizayee. "We are insisting on exporting oil, and it is sold according to market price and quality," he added.

The KRG sold its first oil shipment through the Mediterranean port of Ceyhan on May 22. Iraq's central government reacted to the move by the autonomous Kurdish enclave by filing a lawsuit at the International Arbitration Court in Paris against Turkey, on grounds it was allowing the sale of "smuggled Iraqi oil."

The United Leadership tanker, which was carrying the Kurdish oil, had seemingly originally set course for the United States Gulf Coast, according to vessel tracking services quoted by international news agencies.

The tanker was then reportedly stationary off the coast of Morocco for several days, but then sailed to the Moroccan coastal city of Mohammedia on the Atlantic Ocean, according to the tracking services.

Since the oil was picked up and the tanker set sail from Ceyhan, the KRG never announced the identity of the buyer, or where the cargo was destined for.

Turkey, which has made no secret of its intention to gain access to Kurdish oil to fuel its growing industrialized economy, has denied the strong Iraqi accusations of wrongdoing.

"I don't find it right to say things to Turkey that cannot be told to anybody else," Turkish Energy Minister Taner Yildiz said, in response to questions about the issue.

"The income to be generated from here (exports) will be distributed with a system that our Iraqi brothers established by themselves," the Hurriyet daily quoted him as sayiing in Ankara.

Yildiz defended Turkey's policy of facilitating the export and sale of oil from the Kurdistan Region, saying it would lead to stronger relations with Iraq.

"Think the exact opposite: Would it be better for Iraq if Turkey wasn't letting Iraqi oil to flow through it? It wouldn't. We are a neighbor, friend and fraternal country that is laying the basis for the transmission of Iraqi oil to world markets," he said.

Yildiz rejected accusations by Iraq's deputy prime minister for energy, Hussein Shahristani, who told the AFP news agency: "We believe Turkey has been driven by greed to try to lay (its) hands on cheap Iraqi oil."

But Ylidiz responded, "This oil is not Turkey's, it is Iraq's, and the income to be yielded from here will be Iraq's income."

The oil issue has been at the center of one of the worst rows between the KRG and the Shiite Arab-led government in Baghdad.

Erbil opened its new pipeline to Ceyhan in December, but after strong opposition from Baghdad Ankara said it would hold off on allowing the sales until consent from the central government.

But after months of bickering and acrimony, including Baghdad freezing Erbil out of the national budget for months, no agreement was reached.

Yildiz, who had warned that storage tanks at Ceyhan for Kurdish oil were filled to capacity with 2.5 million barrels of piped Kurdish gas, then confirmed that the first oil sales had begun.

The bone of contention between Erbil and Baghdad has been over who controls revenues. The Kurds rejected demands by Baghdad that the sales should be conducted by the State Oil Marketing Organization, inviting SOMO only as an observer.

Bloomberg News
3 Jun 2014

Tanker Hauling Disputed Kurd Crude U-Turns in Atlantic

By Navia Razzouk and Khalid Al-Ansary

An oil tanker shipping crude from Iraq's semi-autonomous Kurdish region turned back after getting almost 200 miles across the Atlantic Ocean, amid a challenge over the shipment's legality.
The United Leadership, able to haul 1 million barrels, signaled that it was about 5 miles off Mohammedia in Morocco at about 6 p.m. local time yesterday, according to information entered by the ship's crew and captured by Coulsdon, England-based IHS Maritime. It turned back on May 30 after getting about 190 miles west of Gibraltar, at which point it was sailing to the U.S. Gulf. The shipment is illegal, SOMO, Iraq's oil marketing company, said yesterday.

The tanker "has arrived at its destination," Kurdish news website Rudaw reported late yesterday, citing Safeen Dizayee, a spokesman for the Kurdistan Regional Government. The tanker is close to the port of Mohammedia in Morocco, tracking data show. Representatives from the facility are meeting their counterparts at the local refinery, port officer Afifa Loughzail said by phone. At least seven calls to Mohammedia refinery officials weren't returned.
"There will be a lot of attention focused on where that tanker heads because it is potentially a milestone, the first cargo," Richard Mallinson, an analyst at Energy Aspects Ltd. in London, said by phone. "That would discourage any potential buyers. It may also limit the Kurds' options, it may force them to accept discounts on the price that they can sell for."

Escalating Dispute

Three calls to the Kurdish Regional Government's natural resources ministry weren't answered and an e-mail wasn't returned. United Leadership is owned by Marine Management Services MC, according to a database IHS maintains for the United Nations' shipping agency. Four calls to the company's offices in Piraeus, Greece yesterday weren't returned and the line went dead when Bloomberg News asked for an e-mail address for Marine Management's directors. A message to the company's generic e-mail address wasn't immediately returned.

The KRG estimates its region has about 45 billion barrels of crude reserves. Iraq itself has about 150 billion barrels. A dispute between the two sides escalated last month when the Kurds began pumping oil through their own pipeline to Ceyhan, the Turkish port in the Mediterranean sea from where ship tracking data show United Leadership loaded its cargo.

Arbitration

Iraq said May 23 it sought arbitration over Kurdish oil sales at the International Chamber of Commerce. SOMO said June 1 that buyers should not purchase the cargo. The KRG says it's abiding by the Iraqi constitution, according to its website. Shipping signals can be wrong because much of the information is entered manually and because not all data are captured.

"Nowadays, due to technology, it has become easy to track any shipped oil and anyone who will deal with this oil may face problems," Asim Jihad, a spokesman for Iraq's oil ministry, said by phone yesterday.

Disputes about cargoes sometimes delay merchant ships. A tanker called the ETC Isis spent months marooned off Singapore in 2012 as part of a dispute between northern and southern Sudan. Earlier this year, U.S. special forces boarded a tanker shipping crude from eastern Libyathat the nation's government said was illegally shipped.

KRG.org
5 Jun 2014

Prime Minister Barzani addresses Kurdistan Parliament's Oil & Gas and Legal Committees

Erbil, Kurdistan (KRG.org) - Prime Minister Nechirvan Barzani yesterday conducted a lengthy meeting with the Kurdistan Parliament regarding natural resources policy and budgetary matters. Kurdistan Parliament Speaker Dr. Yousif Mohammed, heads of the parliament's political blocs, the Oil & Gas Committee, and the Legal Affairs Committee all participated in the session. The Prime

Minister, Minister of Natural Resources Dr. Ashti Hawrami, and KRG Council of Ministers Legal Advisor Dr. Amanj Raheem answered questions from Members of Parliament and discussed oil export and the road forward.

An excerpt of the Prime Minister's address is below, as well as his response to two questions from Members of Parliament.

Prime Minister's address

"The issue of energy is highly important to us. It has no relations to party politics, nor is it a personal matter. It is related to the Kurdistan Region in general and in reality it is quite a sensitive issue and it is essential that the Parliament, in its role as the legislative institution, be fully informed on the details of this issue. Our policy has been created within the framework of the laws that have been established by the Kurdistan Parliament and hence the parliament should be privy to all the details related to this issue.

"The big question is: 'who will control the oil'? Counterparts in Baghdad did not identify 'right' or 'wrong' KRG actions – they just wanted to control the issue completely. We do not view this issue as a path towards Kurdistan's independence, but rather as the expression of our constitutional rights. These rights are the constitutional principles upon which we agreed when we returned to Iraq in 2003 and 2004, and they have to be implemented in Iraq.

"If Baghdad today agreed with us upon the issue of oil revenue sharing, one of Iraq's most important laws, it would lead to the resolution of a number of obstacles related to this issue. However, if I speak frankly, Iraq's federal government increases the sovereign expenditures year after year without the Kurdistan Region's knowledge, and this is reduced from Kurdistan's share of the Iraqi budget.

"At a time when Baghdad regularly increases its sovereign expenditure, the burden placed upon the KRG increases and citizens' expectations of the government, in terms of services, are considerable. This is the right of citizens, and they are fully entitled to these demands. In addition, we have a large number of civil servants on the government payroll in Kurdistan. For your information, 850 billion Iraqi dinars per month are spent on the salaries of civil servants. This is a very large figure and it needs to be addressed. It cannot continue in this way.

"In order to reach international standards…we need more than $US 31 billion to meet the demands for infrastructure in Kurdistan such as highways and roads, bridges, schools, hospitals and other essential needs.

"We are determined to carry out our constitutional rights and to ensure that we receive from Baghdad the full 17% of the Kurdistan Region's share of the budget.

"In last week's session we provided solid clarifications. And today we have come here because without doubt esteemed Members of the Kurdistan Parliament, as members of the legislative institution in Kurdistan, have many questions that they would like to see answered. The aims of Members of Parliament are to determine whether the KRG's oil policy will be successful or not, as well as to understand the government's future plans. This includes the manner in which the KRG plans on spending the revenue we receive.

"We want to address these questions openly and transparently in Parliament today so that we can reach a mutual consensus regarding the energy issue in Kurdistan. And just as Speaker of Parliament Dr. Yousif explained, we want energy to be a national issue and to resolve doubts about its transparency. We are ready to answer these questions in front of the Kurdistan Parliament, as it is our legislative institution, and so we are ready to attend any time to be questioned and to be held accountable.

“We fully believe that the achievements of the KRG are in the best interest of the Kurdistan Region, and are in accordance with the Iraqi Constitution. We are confident. But the task is not easy; in fact, is it quite difficult.

“The main requirement for the success of this process is a united stance among all of Kurdistan’s political parties on this issue.”

Responses to questions from Members of Parliament

In response to questions from Members of Parliament regarding the position of the United States, Prime Minister Barzani stated that the policy of the United States is and has been to support both Baghdad and Erbil in efforts to reach an agreement, as has been reiterated by American diplomats on every occasion. The KRG wished that, when considering the oil issue, the United States had pointed to Baghdad’s unilateral and unconstitutional decision to cut the Kurdistan Region’s share of the budget. The KRG resorted to exporting oil following Baghdad’s decision to cut the budget of the Region, an act that has affected the payment of salaries of civil servants. The KRG has been forced to pursue a solution because of this action.

In response to questions regarding the agreement between the Kurdistan Region and Turkey, the Prime Minister stated, “We should not view this issue as political. We have held meetings with our Turkish counterparts over a lengthy period of time, and it culminated in a protocol for long-term cooperation on energy issues and is subject to extension. The agreement was a result of a long series of meetings. We do not consider this to be a political move to divide Iraq. That is not the case.”

The Financial Times

5 Jun 2014

Oil spat puts focus on Baghdad's battle of wills with Kurd region

By Daniel Dombey in Istanbul and Neil Hume in London

When the United Leadership was loaded with 1m barrels of oil at the Turkish port of Ceyhan last month, it seemed business as usual for the tanker.
But its cargo has since entangled the vessel in a web of Middle Eastern politics involving a diplomatic spat between Ankara and Baghdad, negotiations for a new government in the aftermath of Iraq’s recent general elections and a bid for greater political and economic independence by Kurds in northern Iraq.

At issue was the origin of the oil. It was pumped through a controversial pipeline that for the first time directly connects Turkey with Kurdish northern Iraq without passing through areas of federal Iraqi control.

When the fuel was loaded on to the tanker, bound for export markets, Baghdad responded furiously, insisting that without its permission the Kurdish regional government had no right to export the oil and Turkey no right to transport it.

The Iraqi government has since taken the issue to the International Chamber of Commerce, lashed out at Turkey for its “greed”, and threatened legal action against any purchasers. The US has also long made clear its opposition to the sale of KRG oil without Baghdad’s approval, arguing that such a step could undermine the integrity of Iraq.

The fate of the oil is unclear but it remains part of a much bigger game – a test of wills between Baghdad and the Kurdish regional capital of Irbil and a push by Turkey for greater influence in the region.

The United Leadership initially appeared bound for the US but, after passing Gibraltar it headed south towards the Moroccan port of Mohammedia, only to reverse course once again. Accounts vary as to whether it had unloaded any of the oil in Morocco, and whether the fuel had found a firm buyer or had left Turkey because Ceyhan had used up its storage capacity and had nowhere left to keep it.

Irbil insists the oil has been sold “according to market price and quality” but to date no group has stepped forward and identified itself as the buyer.

That leaves the status of any oil exported directly by the KRG almost as much at sea as the United Leadership itself. People involved in the Northern Iraqi oil industry say the cargo represents an important precedent, arguing that future shipments will become normal, just as past steps – such as transporting Kurdish oil to Turkey by first truck and then pipeline – gradually became routine.

And yet the opposition of Iraq’s central government and the US has clearly deterred, if not scared off – potential buyers.

“The threats of legal action may be putting people off but my sense is that Baghdad is fighting a desperate, rearguard action,” adds Richard Mallinson, an analyst at Energy Aspects, who speaks of Iraq waging a campaign to extract promises from companies not to touch the oil. “While they might make this cargo complicated and they might slow the process, it still feels like we are getting closer and closer to pretty independent exports.”

The stakes are high. The dozens of energy groups that have invested in the KRG are impatient to see revenues from direct sales. Turkey is eager to increase its ties with, and influence over, Northern Iraq with the Middle East in turmoil. With increasing electricity demand and a $60bn plus energy import bill, Ankara is also particularly interested in direct gas links with the region.

Perhaps most significant of all, are the broader tensions – and negotiations – between Baghdad and Irbil. Despite a constitutional obligation for 17 per cent of oil revenues to go to the KRG and the remainder to Baghdad, the two sides have been at loggerheads over dividing up oil income for years. In March, as part of that dispute, the central government stopped paying KRG wage bills – transfers worth some $600m-$700m a month.

But if Baghdad holds the economic cards, the KRG has political leverage: following the April elections, Kurdish MPs could help prime minister Nouri al-Maliki to form a new coalition government. The question is whether Irbil is overplaying its hand as it seeks to chart its own path.

“The KRG is partly trying to force negotiations through these exports, but it is also looking for an alternative revenue stream to the wages Baghdad has stopped,” says Shwan Zulal at Carduchi Consulting, who suggests that the two sides will eventually agree a new compact. “The trouble is that to pay those wages you need five or six tankers a month.”

VOA News Voice of America
5 Jun 2014

Turkey, Iraqi Kurdistan Seal 50-Year Energy Deal

ISTANBUL — Turkey and the Kurdistan Regional Government (KRG) in Iraq on Wednesday announced the signing of a 50-year deal to export Kurdish oil to the north.

KRG Prime Minister Nechirvan Barzani unveiled the deal during a speech to Iraqi Kurdistan's parliament in Irbil, capital of the Kurdish-dominated region in northern Iraq.

The agreement comes amid growing international criticism over the deepening relationship between Iraq's Kurdish region and Turkey — a relationship that bypasses Iraq's central government, straining Baghdad's relations with Irbil and Ankara.

In the opinion of Emre Iseri, a political scientist and energy expert at Turkey's Yasar University in Izmir, Iraq's energy-rich Kurdish region and energy-hungry Turkey are a perfect match.

"Turkey would like to become a regional energy hub, and so Turkey would like to diversify away from Russia and Iran," he said. "It also is thinking about its current account deficit and thinks that it can acquire cheaper oil and natural gas prices from Iraqi Kurdistan."

But Baghdad officials insist only Iraq's central government has the right to export Iraqi crude. Baghdad recently announced plans to take legal action against Ankara at the International Chamber of Commerce's International Court of Arbitration in Paris. Iraqi officials have said any contracts between Kurdish authorities and foreign energy firms violate Iraq's constitution and are illegal unless formally sanctioned by Baghdad.

While Irbil rejects that position, Ankara has been trying to placate Baghdad for months. According to Soli Ozel, political columnist for the Turkish newspaper *Haberturk*, Ankara's efforts have largely failed.

"Baghdad protests it and [is] going to court about this," he said. "Obviously they have not looked favorably [on] such transactions and have not changed their minds about it. And the Americans registered their discontent, but that's where we stand now."

Washington has repeatedly voiced criticism of Ankara's direct dealings with Irbil, warning it could threaten Iraq's territorial integrity, a position rejected by both Irbil and Ankara.

Some analysts say the KRG is in urgent need of funds from energy sales because Baghdad cut funding to the Kurdish region over its unilateral dealings with Ankara.

With Iraqi Prime Minister Nouri al-Maliki still struggling to form a government following general elections, analysts say Irbil and Ankara could be seeking to exploit the prevailing political instability. However, some say the formation of a new government in Baghdad could lead to greater pressure on both Irbil and Ankara over their deepening energy cooperation.

"The northern Iraqi line seems to be a secure and reliable line at the moment," said Semih Idiz, diplomatic columnist for *Al Monitor* and the Turkish newspaper *Taraf*. Whatever the political climate, Idiz says, there will be no turning back.

"[The deal] ties in with other factors [that are related to] Turkey's own Kurdish problems," he said, explaining the agreement is also a result of regional volatility and strained ties between Baghdad and Ankara. "There [are] political reasons, strategic reasons and also economic reasons for this. And Turkey has been steadily pushing forward with this project, [which indicates] that it is more or less a done deal."

The first batch of Kurdish oil, with an estimated market value of $110 million, was transported through Turkey on May 23. Turkey and the KRG have said the flow of Kurdish oil to international markets will continue despite Iraq's legal efforts to stop it.

Al-Monitor
5 Jun 2014

Kurdish oil ship in search of a port

By Ufuk Sanli (as translated from Turkish)

The Kurdish administration in northern Iraq and the Baghdad government are at loggerheads over oil export. The tanker carrying the first cargo of independently exported oil from northern Iraq is crisscrossing the Mediterranean without any clear destination or buyer, amid threats of legal action from Baghdad.

According to online monitoring services, the ship — the United Leadership — was first seen heading to the Atlantic, its destination, the Gulf of Mexico. On Monday [June 2], however, the vessel changed route to Morocco's Muhammadiyah region following tough remarks the previous day by Iraqi Deputy Prime Minister Hussein al-Shahristani.

The Baghdad government has declared illegal the sale of oil exported from northern Iraq to Turkey, and vowed international legal action against companies or entities who buy that oil. It has also warned it would slap its own sanctions on any buyers, be they entities or individuals.

Price plunges 50%

According to oil industry sources contacted by Milliyet, the price of the ship's cargo has plummeted amid the tensions. The crude oil price at international markets is $110 per barrel at present. Accordingly, the ship's cargo, loaded at Turkey's Mediterranean oil terminal, Ceyhan, was calculated to be worth $115 million. But now the sellers are said to be ready to sell the cargo for $56 million.

US warnings

The United States has also objected to the Kurdish regional administration exporting oil independently from Baghdad. US State Department spokeswoman Jen Psaki has stated that Washington does not support oil exports without approval of the Iraqi federal government and is concerned about such exports taking place.

Maliki: Turkey's actions unacceptable

Iraqi Prime Minister Nouri al-Maliki has denounced Turkey for its involvement in [efforts at] selling the northern Iraqi oil. In remarks to Iraqiya TV, Maliki said Turkey acting as intermediary in taking the Kurdish oil to international markets without Baghdad's consent was unacceptable. He described those sales as trampling on Iraq's honor.

Reuters

6 Jun 2014

Under pressure from Baghdad, Italy warns oil traders off Kurdish tanker

By Julia Payne and Stephen Jewkes

LONDON/MILAN (Reuters) - Italy has warned oil traders they face potential legal action from Baghdad if they buy disputed exports of crude from Iraqi Kurdistan, in the latest setback for the autonomous region in its struggle with the central government over oil sales.

The Kurdish Regional Government (KRG) loaded its first pipeline shipment of Kurdish oil onto the United Leadership tanker at the Turkish port of Ceyhan two weeks ago, in a move it said was designed to show Baghdad it controls its own oil sales.

But so far the KRG has been unsuccessful in finding a buyer for the oil, as Baghdad has stepped up pressure on countries with political and economic links to Iraq.

A letter from the Italian Industry Ministry warned traders and refineries that the Iraqi government had told its embassy in Baghdad that such crude sales were illegal, and they could face penalties from its oil marketing arm, SOMO.

"SOMO reserves the right to take legal action against the buyer of such a cargo," said the letter, dated June 4.

Two copies of the letter were provided to Reuters by traders at separate companies, including one at an Italian refinery. A spokesperson at the Italian Department of Energy was not immediately available to comment.

While the letter stopped short of saying Italian refineries would be barred from buying the oil, it is the first sign that European countries are responding to pressure from Baghdad.

Italian state-backed energy major ENI SpA has a 25 year contract with Baghdad to develop the Zubair oil field, which has a production target of 850,000 barrels per day (bpd). Italian refiners, including ERG and Saras, also import Iraqi crude.

"The government, which controls ENI, is showing Iraq it's doing its part," one Italian oil trader said.

FLOATING OFF MOROCCO

On Thursday, the United Leadership sailed away from Morocco after authorities in the North African country declined to let it unload its cargo of 1 million barrels of crude at the Mohammeddia refinery.

After first sailing towards the U.S. Gulf Coast, according to tanker tracking data and shipping sources, the vessel turned back towards the Mediterranean at the end of last week.

The U.S. State Department last week said it did not condone oil sales bypassing Baghdad.

The tanker is now sitting almost 30 miles off Morocco, Reuters AIS Live ship tracking showed, and remains loaded with crude according to satellite measurements of the depth the ship is sitting in the water.

The KRG originally said the oil would be sold to German or Italian refiners, but so far the tanker has not sailed towards those destinations.

Until last month, Kurdish oil exports were constrained to a small volume shipped by truck to two Turkish ports on the Mediterranean. Iraq's state marketer made threats of legal action but did not follow through.

But the start of shipments on a new Kurdish pipeline to Turkey that currently delivers around 100,000 bpd to Ceyhan means significantly higher revenues for the region.

Iraq and Kurdistan have been trying to reach a political agreement over oil sales, but five months after the pipeline started up there had still been no final decision, prompting the KRG to go it alone.

Today's Zaman
7 June 2014

KRG oil shipment stranded in Morocco

A shipment of oil from the Kurdistan Regional Government (KRG) that passed through Turkey's Ceyhan pipeline nearly two weeks ago is sitting without a buyer in a Moroccan port, according to ship tracking data from Thursday.

The shipment, which was sent to Ceyhan via a pipeline constructed by the KRG, has enflamed already high tensions between the KRG and Baghdad -- in addition to straining Ankara's relations with the latter. The Iraqi federal government took legal action against Turkey last month for facilitating the shipment. The issue is a source of concern for Washington, which said it does not support oil exports conducted without Baghdad's consent.

The KRG opened its new pipeline last December and began shipping oil to Turkey, angering the central government in Baghdad and prompting it to cut the KRG's 17 percent share of the national budget in January. The KRG has since stated that the cuts left it with no choice but to sell its oil independently. According to KRG Spokesman Safeen Dizayee, US Vice President Joe Biden called Iraqi Prime Minister Nouri al-Maliki repeatedly and requested that the KRG's budget be reinstated. Al-Maliki told Biden that Baghdad would do so, but has failed to deliver on its promise, according to Dizayee.

There has been much speculation about the shipment's final destination. Some analysts believed it was headed across the Atlantic while Energy Minister Taner Yýldýz had said it was destined for Italy and Germany; now it's halted in Morocco, which Dizayee said on Tuesday was its final destination.

Industry experts speaking to Today's Zaman said that it will be difficult for the KRG to find a buyer for the shipment, since Baghdad has warned international buyers not to purchase what it considers “smuggled oil.” The experts said that the KRG may have to sell the oil for less than desirable prices to smaller companies not involved in business deals with the central government.

The KRG has claimed that it holds reserves of 45 billion barrels of crude oil, and will be able to produce a million barrels a day by 2015 and double that number by 2019. It previously shipped oil to Ceyhan through a federal government pipeline. The revenues of these sales went directly to the federal budget. Dizayee said earlier this week that Turkey and Iran had discussed building two pipelines, one that would send Kurdish oil to Iran and another that would export Iranian natural gas to the KRG.

In Iraq, oil revenues account for 95 percent of Iraq's federal budget, and the country has the fourth-largest proven oil reserves in the world. The KRG has fought with Baghdad for years over control of its oil reserves. In spite of Baghdad's fierce condemnation of the KRG's recent shipment, leaders of the autonomous Kurdistan region assert that it has a legal right to export its crude oil.

Al-Monitor

6 Jun 2014

Turkey's lost influence in Iraq

by Semih Idiz

Turkey's bid to throw its lot into a controversial oil deal with the Kurdistan Regional Government (KRG) has so far proven to be a losing hand in Iraq.

Al-Monitor's Denise Natali indicated in her May 29 article that the move shows the extent to which Ankara and the KRG are willing to defy Baghdad.

In a further sign of that defiance, KRG Prime Minister Nechirvan Barzani told the Iraqi Kurdish Parliament in Erbil this week that a 50-year energy accord had been signed with Turkey.

Baghdad considers Turkey’s complicity in the still-murky deal, which will likely be challenged in international arbitration, as contributing to Iraq’s political crisis, and has lodged a complaint against Turkey with the Paris-based International Chamber of Commerce.

Washington also continues to oppose this cooperation between Turkey and the KRG.

Turkey, however, denies that its energy ties with the KRG — which it maintains are in accord with the Iraqi constitution — are contributing to the division of Iraq. Turkish Energy Minister Taner Yildiz says that Turkey is “a neighbor, friend and fraternal country that is laying the basis for the transmission of Iraqi oil to world markets.”

Baghdad, however insists that the KRG does not have the right to explore and exploit the country's oil independently, and government officials contacted by Al-Monitor believe this application will take a long time to process and go nowhere.

Some industry analysts agree, and argue that Turkey and the KRG are likely banking on that the reality on the ground will trump any protracted legal challenge.

Turkey’s “all-in” approach with the Kurds are a setback to what was a fledgling and ill-fated effort to reset acrimonious Baghdad-Ankara ties during the October 2013 visit of Iraqi Foreign Minister Hoshyar Zebari to Ankara for talks, and followed up by a visit to Baghdad by Turkish Foreign Minister Ahmet Davutoglu the next month.

In Iraq, Davutoglu also visited the holy cities of Najaf and Karbala, and met with religious leaders in an effort to reach out to Iraqi Shiites, who have been unhappy over what they see as Ankara's sectarian policies favoring the Sunnis.

Davutoglu also announced in Iraq that a decision had been made to resume the stalled meetings of the "High Level Strategic Cooperation Council" set up between Turkey and Iraq in 2009. He added that Iraqi Prime Minister Nouri al-Maliki would visit Ankara in December, or January 2014. A return visit by Prime Minister Recep Tayyip Erdogan to Baghdad shortly after was also planned.

These announcements were taken by diplomats in Ankara as indications that Turkey was set to chart a new course with Iraq. Hopes were also raised that Turkey would mediate between Baghdad and Erbil over their energy dispute.

Over seven months have elapsed since Davutoglu visited Baghdad and there is no sign yet as to when the high-level contacts mentioned by him will take place. Maliki is trying, of course, to establish his new government following the elections in April, but there are no indications that he will be arriving in Ankara anytime soon, even if he forms his new government.

All of this is a far cry from the heady days prior to 2010 when ties between the two countries appeared firm and when Ankara had considerable influence in Baghdad.

Erdogan, accompanied by most of his cabinet, had traveled to the Iraqi capital in October 2009 for the first meeting of the High Level Strategic Cooperation Council, during which no less than 48 documents were signed covering cooperation in fields ranging from energy and security to health and agriculture.

Official US cables leaked by WikiLeaks to various newspapers also indicated that Turkey was considered by Washington at the time as having forged one of the best relationships with the Iraqi government, and was also playing an important role in helping negotiate the withdrawal of US troops from Iraq.

In the meantime, Turkey's influence in persuading the Sunni minority in Iraq, which lost its privileged position after the ousting of Saddam Hussein in 2003, not to boycott the political process but partake in it, also stood in good stead with both the Iraqi government and Washington.

Ironically, one of Ankara's main objectives at the time was to curb the political aspirations of Iraqi Kurds and prevent Northern Iraq from gaining an autonomous status, in the fear that this would encourage Turkey's own restive Kurds.

In 2009, Iraqi Kurdish politicians accused Murat Ozcelik, Turkey's ambassador to Baghdad, of interfering in Iraq's internal politics by trying to influence the drafting of the country's new electoral law in line with Ankara's desires. In retrospect, adding to the irony was that Turkish politicians were accusing the United States then of conspiring to establish an independent Kurdistan adjoining Turkey.

The tables have turned today and Turkey is openly siding with the KRG against Baghdad, much to Washington's consternation. The first signs of a souring of relations between Ankara and Baghdad emerged with the 2010 parliamentary elections in Iraq, when Shiite politicians also started complaining about Turkish meddling in Iraqi politics.

Ankara at that time favored the Iraqi National Movement, or "al-Iraqiya," led by Ayad Allawi, the prominent secular political activist and a former interim prime minister. In December 2010, The New

York Times cited a cable by Christopher R. Hill, the US ambassador to Baghdad, leaked to the press by WikiLeaks, in which ambassador Ozcelik was said to have opposed Maliki's re-election.

According to Hill, the Turkish ambassador told US diplomats that if Maliki were re-elected he "would focus on increasing his own power and would not be cooperative in resolving outstanding issues." The Iraqi elections, however, failed to provide the results Ankara desired and Turkey emerged as one of the main losers.

Meanwhile the Erdogan government's stance prior to the elections was noted by the Maliki government. The Syrian crisis which broke out shortly after in 2011, on the other hand, sharpened the sectarian sensitivities between Ankara and Baghdad.

Relations worsened after Turkey gave refuge to Iraqi Vice President Tariq al-Hashemi, a prominent Sunni politician, who was accused in 2011 of setting up anti-Shiite death squads and later sentenced to death in absentia by a court in Baghdad.

The subsequent rapid developments in Turkish-KRG ties, especially in the strategic energy field, merely contributed to worsening what were already tense ties between the Erdogan and Maliki government.

This situation continued until the attempt to break the ice in October and November 2013, which was also prompted by shared concerns over the escalating chaos in Syria.

That attempt, however, has turned out to be more of an uphill struggle than initially thought.

Meanwhile, Ankara and Erbil appear determine to forge on with their ties despite objections from Baghdad and Washington. Harith Hasan indicates in his May 30 article for Al-Monitor that the KRG risks isolation in Iraq by exporting oil through Turkey.

It is clear that developing ties with Turkey is not endearing Kurds to their Arab neighbors. Whether this is of any immediate concern to the Iraqi Kurds, however, is questionable. Their region, after all, is the only one in Iraq that appears to be going anywhere.

“Kurdistan represents everything that has not happened in Shiite-dominated Baghdad and the Sunni regions of Iraq, where Prime Minister Nouri Kamal al-Maliki has behaved like a visionless, pro-Shiite sectarian chief and violence remains rife,” Thomas Friedman of The New York Times wrote on June 4.

Turkish officials appear to be banking the expectation that Washington will ultimately do little, other than stating its dissatisfaction over developing Turkish-KRG ties, given the stability in Northern Iraq where some leading US oil companies are also doing business. The United States will close its markets to direct Kurdish oil sales, of course, but Kurdish officials appear confident that there are other markets they can access.

Meanwhile, Turkish government officials were not concerned over a motion submitted by the main opposition Republican Peoples Party (CHP) this week for a parliamentary inquiry over Ankara's decision to allow the shipment of Kurdish oil to world markets through Turkey. The motion is destined to be rejected by government deputies who hold the majority in parliament.

The bottom line appears to be that Turkish-Iraqi ties will remain in the doldrums for now given this background, at least until such time as Baghdad and Erbil come to a common understanding over their energy resources.

Today's Zaman
7 June 2014

KRG oil shipment stranded in Morocco

A shipment of oil from the Kurdistan Regional Government (KRG) that passed through Turkey's Ceyhan pipeline nearly two weeks ago is sitting without a buyer in a Moroccan port, according to ship tracking data from Thursday.

The shipment, which was sent to Ceyhan via a pipeline constructed by the KRG, has enflamed already high tensions between the KRG and Baghdad -- in addition to straining Ankara's relations with the latter. The Iraqi federal government took legal action against Turkey last month for facilitating the shipment. The issue is a source of concern for Washington, which said it does not support oil exports conducted without Baghdad's consent.

The KRG opened its new pipeline last December and began shipping oil to Turkey, angering the central government in Baghdad and prompting it to cut the KRG's 17 percent share of the national budget in January. The KRG has since stated that the cuts left it with no choice but to sell its oil independently. According to KRG Spokesman Safeen Dizayee, US Vice President Joe Biden called Iraqi Prime Minister Nouri al-Maliki repeatedly and requested that the KRG's budget be reinstated. Al-Maliki told Biden that Baghdad would do so, but has failed to deliver on its promise, according to Dizayee.

There has been much speculation about the shipment's final destination. Some analysts believed it was headed across the Atlantic while Energy Minister Taner Yýldýz had said it was destined for Italy and Germany; now it's halted in Morocco, which Dizayee said on Tuesday was its final destination.

Industry experts speaking to Today's Zaman said that it will be difficult for the KRG to find a buyer for the shipment, since Baghdad has warned international buyers not to purchase what it considers “smuggled oil.” The experts said that the KRG may have to sell the oil for less than desirable prices to smaller companies not involved in business deals with the central government.

The KRG has claimed that it holds reserves of 45 billion barrels of crude oil, and will be able to produce a million barrels a day by 2015 and double that number by 2019. It previously shipped oil to Ceyhan through a federal government pipeline. The revenues of these sales went directly to the federal budget. Dizayee said earlier this week that Turkey and Iran had discussed building two pipelines, one that would send Kurdish oil to Iran and another that would export Iranian natural gas to the KRG.

In Iraq, oil revenues account for 95 percent of Iraq's federal budget, and the country has the fourth-largest proven oil reserves in the world. The KRG has fought with Baghdad for years over control of its oil reserves. In spite of Baghdad's fierce condemnation of the KRG's recent shipment, leaders of the autonomous Kurdistan region assert that it has a legal right to export its crude oil.

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Kurdish Oil Puts Region at Political Crossroads

By Stephen Dockery

WASHINGTON DC - Recent progress in the Kurdistan Region’s energy sector has put the autonomous enclave at a crossroads that could prove hugely significant to long-term political and economic developments, analysts and experts told *Rudaw*.

The Kurdistan Regional Government finished building a pipeline late last year that connects its oil and gas to world markets through Turkey's Ceyhan port, and KRG Prime Minister Nechirvan Barzani disclosed last week that Erbil has a 50-year oil deal with Ankara.

But the first shipment of Kurdish oil has had a troubled journey aboard a tanker that has been held in the Mediterranean due to US pressure, Kurdish officials told *Rudaw* on Friday.

Michael Knights, an Iraq expert at the Washington Institute for Near East Policy, said that there are two competing visions for the oil development: the plan that sees Kurdistan's economic independence in the medium to long-term future, and the one that sees it as already here.

"You only get to roll the dice once, but which one do you want to do?" Knights asked. "The problem is this: the oil industry, if they try to go economically independent this year and something goes badly with it, that will put a shadow over the sector."

The pipeline to Ceyhan opened in December, and before long more than two million barrels of Kurdish oil was stored on the Mediterranean coast. Erbil and Ankara delayed the sale, hoping to resolve its dispute with Baghdad.

But following a decision by Baghdad to freeze the Kurdistan Region's monthly budget in January, Kurdish authorities decided to sell their own oil to compensate for their 17 percent share of the national budget held by the central government.

The US said it did not support independent oil exports from Kurdistan, while Washington's initial attempts to bring Erbil and Baghdad together appear to have come to a dead end.

"(The Americans) are highly involved, but they haven't had a great deal of success moving either side off of their basic positions," Knights said about the Baghdad-Erbil dispute.

Denise Natali, from National Defense University in Washington DC, said there is an interest in Iraq maximizing oil production through its northern corridor, but that it is equally important that Erbil and Baghdad resolve their disputes before drastic steps are taken to rely on Turkey for the exports.

"There's every reason that this could be a win-win situation if it could be done in a legal way," Natali said. "Pretty much everybody wants Iraq to maximize the northern corridor, including Kurdish crude."

"All of these things are coming together to show the world, to show investors, to show Iraqis, that the Kurds are going to move forward with their plans," Natali added.

"The question remains how much do you want to sell, under what conditions and what timing," she noted. "The fact that it's going to different ports and it's considered hot cargo is not good for the Kurdistan region."

For their part, Kurdish authorities are aware of the complications surrounding the oil issue. However, they defend their act as constitutional and say that Erbil still hopes to reach a lasting agreement with Baghdad through dialogue.

"We are open to dialogue, but if Baghdad chooses to close all the doors we will certainly not be standing there doing nothing," KRG Prime Minister Barzani told the Kurdish parliament recently. "Selling our oil was a clear message for Baghdad to realize that we will not back down and will do what we have promised in the past."

In his speech before parliament, Barzani said that Iraq owes nearly $5 billion to the Kurdistan Region in delayed funding.

Joel Wing, a long-time Iraq blogger and analyst, believes that the energy dispute between Baghdad and Erbil is part of broader political disagreements in Iraq.

“The political dispute is the real reason why they are pushing so hard on (oil) right now,” Wing said. “I think the rhetoric is just going to keep on in a very high level and that’s going to play out in the government formation.”

Wing believes that the current dispute will be even harder to resolve given the serious Kurdish-Sunni opposition to the nomination of Nouri al-Maliki as Iraq’s prime minister for a third term.

To approach the problem of budgets and authority, Erbil and Baghdad will have to reconcile over Kurdistan’s long-term role in Iraq, said Nussaibah Younis, from Harvard University’s Belfer Center for Science and International Affairs.

“At its heart the problem is that the KRG and the Iraqi central government fundamentally disagree on the terms on which the KRG is to be part of Iraq,” Younis said.